

The Social Radars

S3: Ryan Petersen, Founder & CEO of Flexport

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- Jessica: I'm Jessica Livingston, andCarolynn Levy and I are The Social Radars. In this podcast, we talk to some of the most successful founders in Silicon Valley about how they did it. Carolynn and I have been working together to help thousands of startups at Y Combinator for almost 20 years. Come be a fly on the wall as we talk to founders and learn their true stories. Today I am so excited. We are here with Ryan Petersen of Flexport, which is a platform for global logistics that went through YC in 2014. Welcome, Ryan.
- Ryan: Thank you. Yeah, it's great to be here.
- Jessica: Can you do me a favor and you describe what Flexport does just for the audience?
- Ryan: Yeah. Well, Flexport is a technology platform that makes it easy for businesses to get their products from wherever they're made, anywhere in the world, into the hands of their customers. And we do that by connecting all of the world's logistics assets. So air freight, ocean freight, trucks, rail, warehouses, customs agencies, governments, insurance companies and banks. And you have to connect all of that complexity together to make the cargo flow seamlessly, even as it crosses borders and changes title, changes hands a dozen times throughout the way so that the customer doesn't have to think about any of that. They're just getting a price. And we can do it in any quantity, whether it's the airplane load of cargo or containers all the way down to individual parcels. So yeah, a very complex business and we try to make it simple for the customers. They don't have to think about all that complexity.
- Jessica: Thank you. So let's go back to when I first met you, which was on the stage in the fall of 2013. You did office hours at Startup School with Paul and Sam Altman. Do you remember?
- Ryan: Of course. Before I did YC.
- Jessica: Before you did YC.
- Ryan: Or six months or something before or something. Yeah-
- Jessica: It was in the fall-
- Ryan: I was super nervous. You can probably tell.

Jessica: No, I listened to it and you didn't seem nervous, but let's talk about how quaint it was that back then you described yourself as a US customs brokerage company built around a web application.

Ryan: It's been the coolest part about Flexport is that our vision keeps growing. We keep learning more, keep extending it. Learning more about every aspect, and then being like, "Oh, we could go further. We could do more." And now we have giant fulfillment centers which always ship 40 million packages to people's doors, small packages to a consumer's house. Well, you're in the UK, Jessica, but this is only the US so far, but if you order something on a Shopify website, it's very likely to have a little Flexport logo on the label.

Carolynn: Oh my God. Nice.

Jessica: All right. Well, we're going to talk about your journey. I'm going to need to apologize right up front. I feel like I'm going to be very frenetic today. More frenetic, Carolynn, than I normally am.

Carolynn: Wait. Okay.

Jessica: Because I have all these questions. But just before this, I listened to the YouTube interview that you did with Garry. I have an hour's worth of questions just on that interview. It was so fascinating. I didn't know all this stuff, so I'm going to be all over the place.

Ryan: Great. And by the way, on that topic of the custom, we started with custom... I had some ambitions. We wanted to do freight, but the ambitions keep growing. I hope it keeps growing. I hope we keep finding new things that we could do that we hadn't realized were problems.

Jessica: You said in the Q and A, I have it written down, "I hope to enter the logistics space, freight and warehousing."

Ryan: Oh, okay, good. I did say that. Yeah, we-

Jessica: I mean, it's so precious.

Ryan: Have some ambitions, but we try to keep it simple. And in fact, what we found was that when we started out and we did YC, the pitch during YC demo day was we're a customs broke, and we wanted to just stay focused on that. That was all the advice we got from smart people is do one thing really well and then start doing more stuff. But whenever we talked to customers, they were like, "Well..." The customers that we got that just wanted to do customs and not do freight, separate customs clearance from the freight, they were always up to something weird or they're just not good customers.

Carolynn: Oh, interesting.

Ryan: It was like you're importing a tuk-tuk from Thailand. Went on vacation and bought a tuk-tuk. This is not going to be a long-term recurring business model. Some guy bought it. A tuk-tuk is a little motorcycle taxi, right?

Jessica: Yeah, yeah, yeah.

Ryan: Okay. Someone was willing to ship the freight but didn't want to deal with the complex regulations of DOT, EPA, whatever else has to happen for that. So we've found all these problem cases, whereas whenever we talked to a real company, an upcoming direct-to-consumer brand, a lot of our early customers were YC startups. Boosted Boards was one of our first customers.

Jessica: Oh, no way.

Carolynn: Yeah. That's funny.

Ryan: You remember the tablets business for-

Jessica: Yes.

Carolynn: Yeah. Yeah. Yes.

Jessica: Presto.

Ryan: Yeah. Those were some of the early customers, and they were like, "I'm trying to buy air freight customs as a package. Why would I separate these things?" So we very quickly had to go into freight forwarding.

Jessica: So your customers basically dragged you into the freight forwarding business?

Ryan: Yeah. We always wanted to do it, but we would've liked to be much better at customs, be the world's best, most ironclad technology provider for customs and then go extend from there. But we had to extend, and then it's been a nonstop decade-long race to keep up with customer expectations and them wanting us to do more.

Jessica: Okay. Put a pin in that. I hate that expression, but put a pin in that because I just have to ask you, this is what I heard in the Garry interview. Your mother was the leading expert in food safety and your dad was a programmer. I had no idea.

Ryan: Yeah.

Carolynn: Ryan's mom has helped some YC startups for free. She's helped-

Jessica: Really?

Carolynn: Some of the biotechs. Yeah, I think so. Right? Isn't that right, Ryan?

Ryan: Yeah. People doing food safety stuff or food products. Probably Soylent was one of them. Some of these companies were trying to do so.

Jessica: And you said that you and your brother, David, used to supply her work kitchen with drinks and snacks. And so you'd go to the store and then you'd charge her presumably a little bit more and stock it and everything. So you were entrepreneurial.

Ryan: Yeah, my dad taught us to write software so we could generate invoices to submit the invoice to her accounting team to get paid. Looked like a Ryan delivery company or something. Yeah.

Carolynn: I love that.

Jessica: Oh my God.

Carolynn: That's great.

Jessica: I mean, that is so fun. So this is practically inborn with you.

Ryan: It seems like it. I didn't think about it at the time, but it's all about your role models at the end of the day, I think. That's a huge important aspect of life that's really underrated, is surround yourself with smart people that are doing ambitious things and my mom and dad were both those things. But my brother was just a real born entrepreneur as well, and he had one particular friend, his college roommate, who was just super entrepreneurial, couldn't help himself. My brother's three years older than me and they had started as entrepreneurs, and when I graduated from college, I just started working for them and that was really... I give my brother more credit than my parents, but of course, we're coming from the same stock.

Jessica: Yeah. Now Y Combinator funded David in winter 2013. So a year before you came on with Flexport, we had funded his company. And so you worked for that one or an earlier... Because you've been doing your own companies for 10 years, right?

Ryan: Yeah, 10 or 15 years before YC. My brother and I had a lot of businesses together and he left and spun off and did build Zoom, which was the one that went through YC in '13. And then I spun off and did Flexport. So we co-founded each other's companies and helped each other build. We started to realize we were better advising each other than being in the trenches working together every day. And so yeah, I never really worked on BuildZoom, but we both worked on each other's stuff all the time, helping each other.

Jessica: Okay. And what did he tell you about YC? Did he give you the inside scoop on his experience?

Ryan: He helped me, connected me to the interview at Startup School that I think Paul put out to the YC community, "If anybody knows a startup that's thinking of applying for YC, we want to interview a few people on stage." And so he suggested me and I got chosen. So obviously he helped me get in. I think he helped me a lot in understanding the

landscape. We're both outsiders. We've done a lot of tech stuff, but we never raised venture capital. We weren't in Silicon Valley. We built software companies, but outside that world. So just helping me understand the investor game, which parts of YC's advice I should listen to and which part you should just have your own opinion.

Jessica: Which part?

Ryan: Well, for example, I think YC used to be really strict about 'don't talk to any investors until demo day'.

Jessica: Yes, correct.

Ryan: I got inbound from Google Ventures halfway through the batch and they wanted to invest because I had a friend of a friend who was part of Google Ventures and they were wanting to invest. So YC is like, "Don't take anybody's money." My brother's like, "Definitely take Google Ventures money."

Jessica: You don't regret taking their money then?

Ryan: No, no, no. Not at all. I think it was good for us. It's very hard. YC has a hard job, giving the same advice to every single company is not... That's not what they do. They'll give each company unique advice but...

Jessica: It's true. I will say for a majority of the founders, maybe not you, they get inbound calls from people who weren't very serious and they'd waste all this time having meetings and getting to know each other and not building their product. And then they'd be caught on demo day with nothing to present and they'd fail to raise money. So that's what we were trying to prevent.

Ryan: Totally. A hundred percent. I don't disagree with it but I mean, I think that was the right advice. Well, they were ready to write a check on good terms. And my business is unique because we're a freight customs business. I mean, every business is unique, but in that space, I really thought Google was the best possible investor for us because everybody knows Google, but in our industry, which is an old school logistics industry, no one knows Sequoia or Andreessen Horowitz. Maybe they're more famous VCs, but in that space, you're like, "That's not remarkable that you were funded by Sequoia." They're like, "Whatever." But when you're like, "Hey, we're a customs broker funded by Google." It's actually almost an intelligence test. Is that interesting for you? If so, you'll want to talk to me. And if not, I'm like, "Well, maybe you're just not that interested in technology or what's happening in the space." So it was like they were really high on my hit list.

Anyways, my brother, yeah, gave me good advice on YC. Because he was already had made some good relationships with some of the YC partners, helped me to build more, I don't know if I was a peer, but a little bit closer relationships with some of the partners that already knew me or knew my brother and they helped me a little bit with the relationship side of things.

Jessica: All right. I want to go back to when you started Flexport. This industry was so backward. Why was it so backward? Who were your first users? I mean, people were using fax machines in 2013, right? So can you-

Ryan: Still are. Pieces of paper are still part of the process by default. You have to opt out of having a piece of paper served as title for your goods and getting-

Jessica: Okay. So can you paint the picture?

Ryan: And pieces of paper are flown across the ocean and they have to, in a race, to get there before the container does so that the new owner can take it. It's an ancient industry, thousands of years old, moving cargo around the world and one of the oldest industries, and it's really complex and global. The fundamental problem is that for a container to move, let's call it from Vietnam to St. Louis, there's no one company that owns all of the logistics assets from door to door that would have trucks in Vietnam, container cranes port loaded on a ship. There's not one company that can do that. So it's a complex coordination problem. You have to get lots of different companies on the supply side of this to execute a transaction. And these are legacy old school companies that own trucks and ships, and they're not sophisticated IT departments, if they even have software at all.

And so if you want to coordinate that in today's world pre-Flexport and to an extent, Flexport doesn't get to change the whole world overnight, so still this exists. You have to either integrate with those systems or build new systems and convince them to use your system. There's got to be some way to get data in and out of these parties. And so it's called freight forwarding, but I often joke it should be called freight email forwarding. You're passing data along as Excel attachments. And the world is running on these CSV PDF attachments on emails. It is really the backbone of the global physical economy getting pushed around on emails. I mean, we're willing to send emails and make phone calls. That's differentiated us from other tech companies that have approached this industry and said, "Well, if I can't do it with all tech, we're not going to do it." And we take that approach of, no, we're here to solve customer problems and do things that don't scale, right? If I have to do it with people, emailing them and calling them, we do that.

And then we come back though and build the systems. Either systems integrations, it's a lot of API connections, EDI connections. EDI is a predecessor to API world of how businesses' software talks to each other. And then in many cases we found there's no system at all. You go to a warehouse and there's a guy with a clipboard paper just writing down what's arrived, and then a woman in the office has an Excel file. And at the end of the day, he hands his piece of paper to her and she puts it in this Excel file. I'm like, "How am I going to get data from this?"

Carolynn: Data entry. Wow.

Ryan: So we ended up going to build, over the last decade, software for these people. So now we have a warehouse management system that we deploy to these sites and they run

our software. So we're getting real-time scanning in of items, feeding that in. We've built software for trucking companies that had no similar thing. How do you communicate with the driver? You text him. And so we built a mobile app for truck drivers, web application for the dispatcher that's assigning them loads, telling them, "Go pick this up here." As well as just software that assigns load.

Carolynn: Are you building all this or is this custom software or are you putting pieces together?

Ryan: Yeah, we built it all. Well, we'll use other software too. We've basically built all our own software. The one place we haven't is for integrating with government, with customs agencies around the world. We integrate with US customs ourselves directly, but there's hundreds of governments. We ship cargo all over the world. There's other software companies that have done these integrations and we'll integrate with that. Integrate once and connect to 20 plus governments or something, right? So-

Jessica: So I'm already overwhelmed. All I can think of is this is one of these ideas that's very unsexy but so broken and a giant opportunity to improve this. Did you think this has to be fixed, this is a great opportunity and I'm excited about this because you were working on that import export company beforehand?

Ryan: Yeah, so I was a customer of these companies. I mentioned when I graduated from college, I started working for my brother. So he had a business buying motorcycles in China and selling them on the internet. It was an early e-commerce company. We built our own web stores. We didn't use Viaweb, but it was before Shopify. Probably after Viaweb, before Shopify. We were in that window. And so we built our own e-com sites and inventory management systems, and we were shipping motorcycles. So when we would deliver to a customer, it was heavy. A truck would have to come and pick it up and bring it to the customer. Even though it's an e-commerce site, it wasn't FedEx where it was big trucking companies. We were able to integrate outbound from our warehouse to ship. We could check rates with a bunch of trucking companies and have a truck show up and take the bike away without us doing anything. My brother wrote the software for that.

And then we try to do stuff on the inbound side of, okay, we're shipping a container. Can we get rates on what that's going to cost us and clear it through customs and collect all the documents? And we were finding the customs brokers and the freight companies would only work on email and PDF. It was just like, wait, what is this? You have to call them. And so one was the lack of tech, and two, every time we interacted with them, it seemed like they were ripping us off. They would tell us this is the price, and then it would arrive and there would be all these other fees they didn't tell us about, and they're not going to give you the motorcycles until you pay these other fees. And we didn't have a lot of money. We were totally bootstrapped. And so then if you didn't have the money, every day you didn't pay them there was an additional fee.

Carolynn: Oh my God.

Ryan: And so we had these horrifying debt spiral incidents where mom had to bail us out a couple of times and give us a \$10,000 loan to save our ass. And so we're just like, "Man, this industry is just so big, massive and broken." And the entry point we decided was the customs brokerage because that's where we kept having these pain points of getting the goods released at the port, understanding all the fees. And fundamentally, it's a nice high margin business and it's compliance oriented. So you really need data. We saw this opportunity to build a really nice data architecture database driven system to collect all this data, reuse it, collect the documents, and have a repository. So that was the early product vision. We didn't anticipate. Like I said, we got dragged into the freight business. So I had experienced it from the customer experience side. I hadn't worked in the industry, so I didn't really appreciate the nuance of, I hadn't mapped it out on a whiteboard and said like, "Oh, there's these 12 companies involved and their IT systems are outdated or don't exist."

And that problem we discovered a couple of years into the business, you're like, "Oh, this is a lot more software, a lot more challenge, a lot harder business than I expected." But you don't make money doing easy things. I constantly remind my team of that.

Jessica: No, but this is not only difficult, but it's highly regulated and there's different governments involved from start to finish. What was the first lowest hanging fruit? You said it was doing the customs documentation into the US.

Ryan: Speaking of which, when I was in YC in 2014, there was a government shutdown. Yeah, maybe it was 2013. I'm trying to remember. I did YC in 2014, but I'm trying to remember when the government shut down. The government was furloughed. This thing that happens every year with the debt ceiling or whatever, and we had an actual government shutdown. It happens every five years or something. So we had been licensed, but customs wasn't issuing our license or something. So we were stalled in the very beginning right away. You're like, "Oh, my God." I'd already, by the way, spent two years, had to go through an FBI background check to get the license. I started working on the business six years before YC.

Carolynn: It's some level of security clearance you have to get?

Ryan: Yeah, FBI background check. You don't want criminal people. Brokers have access to a lot of stuff and clearing imports and falsifying... There's a lot you can do, whether it's counterfeiting or weapons, drugs, whatever, right? Yeah. So they want to vet who's a licensed customs.

Jessica: But two years it takes you to get vetted?

Ryan: I think it took about that. Now I don't know how much at that time they were working on it. It wasn't like they were interrogating me for two years or something. It was just in the queue.

Jessica: They do call your family though, right? They have to call your family and your friends.

Ryan: Yeah, I think they do. I never really got a lot of color on what happened on that because they weren't really just investigating me personally. It was investigating the company. I do remember once though, I used to answer the phone calls for Flexport, I probably should do this more, but you just answer the phone. And I got this very suspicious call once where this guy was like, "Hey, I've got a bunch of guns I'm shipping from Mexico and I don't have the invoice. Can you help me import these things?" But I was like, "Well, you're going to need an invoice. That's required by law." He's like, "Well, they fell off the back of a truck." I was like, "Sir, I am not going to be able to help you with this." I'm 95% sure it was an FBI agent testing if we were legit up here.

Jessica: Oh, no way.

Ryan: I think so. I mean it was too-

Carolynn: Doing the worst job ever.

Ryan: It was too obvious. If you were actually trying to import these guns, you would tell a better story, right?

Carolynn: Fell off the back of a truck is like a mob movie.

Ryan: Literally said that and I hadn't heard that expression before. I was like, "Oh, they fell out the truck, huh?"

Jessica: Sir, I'm not going to be able to help you with this import.

Ryan: Yeah, it was like my spidey sense went off. I'm like, "I got to pass this FDI exam right now." But actually it's another regulatory thing that indirectly YC, Ron Conway saved Flexport once. I've never really told this story.

Jessica: Oh, tell the story. We love a good Ron Co story.

Ryan: It was during or right after YC. So we had been issued a license. Originally, the license that we had for weird reasons was in Houston, Texas, and we wanted to transfer it. When we came to YC, we're like, "We're going to be a San Francisco company." So we transferred it to San Francisco. And you need a business license. Everyone needs a business license. This is business 101. You got to get a business license. In order to transfer it, get the San Francisco business license, then file that paperwork with Customs and Border Protection. Should be straightforward. Well, San Francisco, although we had a business license, could not print the business license. They had a problem with their IT system. And we went through this Kafkaesque routine where they would print us a letter that said we have a business license.

But they couldn't get us a business license proper and we would submit this letter to Customs and they're like, "Sorry, we need a business license." I'm like, "Well, the letter says, 'We are unable to generate the license but this company does have a business license on file.'" And so it went on for a while and we were going to have to leave San

Francisco and register, I don't know, in the peninsula or something. And so I sent that to Ron Conway and he sent it to our then mayor, Ed Lee, rest in peace. And within six hours we had a business license. When he was like, "Hey, this startup is about to leave-

Jessica: Come on.

Ryan: San Francisco." We had to go down there and fix the printer or something. I mean, it was crazy but...

Carolynn: That is just a heartbreaking story. That is ridiculous.

Jessica: It's so silly.

Ryan: These are all barriers to entry for someone else wanting to come and do this job, is you have to go through the pain of dealing with the government and everything else that's in the chain.

Jessica: Again, this is why I'm saying the industry is so broken. But anyway, let's move forward. Tell me some more hair-raising port stories or early Flexport shipping stories.

Ryan: What kept us going was there was just so much demand for the product. We just kept getting so many signups on the website. Early days we were getting AdWords. For 40 bucks, we would acquire customers that were worth thousands of dollars.

Carolynn: Oh my gosh.

Ryan: Big companies were signing up. Foxconn signed up. Cargill, which is the biggest ad company. Saudi Aramco signed up. I was like-

Jessica: They were desperate.

Ryan: No, they weren't desperate. These people know what they're doing. But they wanted the solution. They liked the technology. And we weren't set up to serve them, but it was obvious there was demand. You know what I mean? It was like, oh, if we can build these types of features, there will be demand if we get this right. And so that really encouraged us to keep going and going. We still don't need to have everything perfect to make it work. You can do it the way they are, the old school guys do it and have humans send emails and make phone calls and solve problems. It's fine. You get going. I know that if you had to make all the tech work end-to-end, day one, no humans in the loop, no humans processing information, making phone calls, sending emails. You could not do this business. We now, after a decade plus of building, have started to build real automation systems and cut people out of the loop.

And a lot of the AI stuff that's happening right now is really working in our favor where you can... Because we've simplified the workflow of what needs to happen to each stage of moving a container, AI can just do a lot of these tasks. Yeah, but it's a decade of building to get to that point. If you had to do that on day one, it wouldn't work. A lot of

types of founders wouldn't want to work on that problem. They want it to be all tech, all software. They don't want to have to do things the old way and pick up phones, make sales like we use the Excel file that the customer's sending you and-

Jessica: So early on your first users, you really had to adapt to each customer. Some people had Excel spreadsheets, some people had the guy with the clipboard.

Ryan: Yeah, we still do. We will. I mean, we see ourselves as a customer company here to solve customer problems. We're not just here to make technology for its own sake, right?

Jessica: I also want to better understand the shipping industry, and maybe I should have known this having funded you, but I don't. What goes wrong in shipping or does it mostly work and they're just these onerous paperwork things?

Ryan: A lot of stuff goes wrong. There's many, many problems and it's a complex dynamic system. So one of the big problems that plagues the industry is it's inherently chaotic, is there's manufacturing. Upstream of shipping, you got to make the product. And there's all kinds of things that can happen. So I think around a third of our containers are delayed each week from the manufacturing standpoint. They thought they were going to be ready on this date and they changed the date that the cargo was ready. And so what's industry-wide, a third of containers that get booked with an ocean carrier end up getting rescheduled and canceled. So if you're these ocean carriers that own the ships, you have to overbook every ship because you are losing a third of your bookings, you have to overbook to compensate for that. And then that math isn't that good. They're not really using a lot of data science and stuff, so they're overbooking. You've booked, but your cargo is not getting loaded because the ship is too full.

And so that's a vicious cycle, right? Because if I think I might get booked, I might book two boat tickets to make sure that if one of them gets canceled, I'm going to use the other one.

Jessica: And you need it by a certain day. You got to have your-

Ryan: Yeah. And there's no cancellation fees. And anytime they try to enforce those, customers revolt and switch their business. Contracts aren't really enforced. It's a super weird industry. And it's hard to enforce contracts because the customers are like, "Look, you can't make me pay for this freight. My manufacturing got moved. I can't help that. If you do that to me, I just won't be able to work with you as a carrier." Now these are solvable problems. 20, 30 years ago, if you remember in the airport, you would hear way more often they were asking people to get bumped and offering you a reward, a thousand bucks if you don't fly. And that's much rarer now because I think they got much better at data science and modeling of how much they should overbook, what's the expected cancellation rate. And then a lot of the airline systems didn't really take hold in the freight industry. I mentioned Google Ventures being our investor. Remember they bought ITA, which is now Google Flights, but that's one of the main database systems for air ticketings from...

ITA was these MIT geniuses from the '80s. What they did was build a real time relational database because pre-internet even, the travel agents were dialing into airline systems to place bookings. And as that volume was picking up, they would double book because there was a lag.

And so they built a real time database to be able to not have the lag, and they took over the whole travel industry. So anyways, I got introduced to those guys to learn, well, why did this happen in airlines and not in oceans? And the answer was, the airlines adopted computers in the 1950s. They were one of the first industries to adopt this stuff, and the container industry just never did it. The airlines don't really like being in that Kayak interface where it's just a race to the bottom on price. They want you to come and have a relationship with them directly. And so I think the carriers in the ocean container industry saw that and were like, "Well, we don't really want to adopt technology. This doesn't seem like it's going to be that good... At least on that side of things, it doesn't seem like it'd be that good for us to be in a race to the bottom on price." So we had to very early on recognize, hey, we're in this multi-sided marketplace. We need to figure out how to make it in the interest of everybody to participate.

And if I come in here as Silicon Valley cowboys saying I'm going to build Kayak Freight, which is one of the ideas that we had early on was what we were building, we realized pretty quickly that ocean carriers didn't want that. They were like, "Oh, not interested. Why would I do that?" So we had to build systems that understand their problem. Oh, their problem is 30% of cargoes getting canceled. Okay, how can I build a more reliable freight company using data science to model how many bookings I'm getting canceled at a lower rate? So we have a much lower cancellation rate than our competitors. Now we've built this automated planning engine. So if one of our customers cancels, we'll look across all the other customers 10 times a day and see if there is another container that's ready that I could pull forward and put it in that slot so that that customer's getting a faster transit time than they expected. The carrier is not getting canceled. It's a huge win-win, right?

But in the beginning it was just business philosophy like, "Hey, let's be better at not canceling, do some statistics." It wasn't super fancy. Now it's machine learning and other stuff. But in the beginning, it was some simple math and a business philosophy of don't treat these cancellations as costless. Even though they're not charging you for it, it's clearly bad for your vendor, bad for your carrier.

Jessica: What's one of the hardest problems that you've solved with software?

Ryan: Yeah, that's a good example. I mean, just honestly just breaking down when you ship a container from door to door, in the beginning it was like, okay, just have some smart people that know how that works and tell them to do it. And they're emailing people, they're calling people a vendor. And now it took a long time, too long. If we knew what we were doing, probably we could have done this faster, but we're outsiders to the industry and there's healthy naivete and all of that, right? But we decompose that into now 108 atomic work items, tasks that have to get completed, and each one has a custom screen of workflow to do these things. And-

Jessica: Did you just say 108 tasks?

Ryan: Yeah, it's not that many, I mean... But yeah, from door to door, 108 things that have to get done. And then deciding who at Flexport should do that work and assigning that to a human to do it. And now because we did that hard work of structuring it, now, especially just over the last six months, we've got those tasks where more and more of them are being done by software. We think by the end of 2025, 80% of that will be getting done by software. And that's a revolution for this industry because fundamentally, the cost is people doing freight email forwarding. But it would not be an overnight success because fundamentally, it's not really a software problem. This is a human experience problem. It's a data problem. It was an understanding of what is the logistics problem? What is this work? How do I translate this work? And the software is pretty simple. It's web forms and databases. Now you can apply some more sophisticated stuff. But the hard part is what should the web form do? Where should we put the data? How should the data model be constructed?

Jessica: Has the existence of Flexport changed the way it works? And have you enabled new classes of shippers, for example?

Ryan: We really empower small businesses where just this is very daunting and allow them to grow. I wouldn't say we changed things that much other than they didn't need to hire big teams. I mean, one of our customers grew, got to 600 million in sales and sold for \$1.2 billion and they never needed to hire a second person in logistics. And the first person was a customer service rep. They put this in the cloud. So there's cases like that we're like, "Yeah, that's pretty unique and different." What we've also seen is our competitors. If you look at the top hundred freight forwarders in the world, Flexport is the only one founded after 1994, which is when Netscape came out, the web browser. So these are not tech companies. But they've been investing like crazy in tech.

I think the first five, six years they ridiculed us. They literally made fun of me on LinkedIn. They still do. But one of them called me Dr. Emmett Brown with his flex capacitor or something. He was in Back to the Future. But he's an idiot because that's not an insult. That guy made a time machine that worked. So they made fun of us a lot. Unsuccessfully, in many cases. But then now they've woken up because we've taken so much market share. We're the third-largest freight forwarding company in the United States and on track to be number one in a few more years. We keep doing a good job. They woke up and they started investing a lot in tech. And they're probably a little too late to do that, but we're starting to see them build better web interfaces. It is a fundamentally hard problem because you can put a nice glossy front end. It's easy to log into our site and copy it. DHL did that. Log in and copy the... Pixel for pixel. They weren't that blatant, but-

Jessica: Really?

Ryan: You could see the design influence. 95 plus percent of our tech is not for what the customer sees. It's what our operators see, what these truckers and warehouses and ocean carriers use. It's not customer-face. It's harder to copy. And then if it doesn't all link together, then you're actually adding costs because you have to take data from your

system that you do use and copy it into the front end that the customer uses. So it's a hard problem. Before Flexport came around, DHL spent a billion dollars with IBM to build a modified version of SAP. I'm told that that's a billion, is just what they paid to IBM. There's another billion that they spent on internal teams and consulting and transformation projects and stuff, and it failed. And the CEO lost his job and then they went back to the systems that they were using before giving up on it.

So it's a hard problem. And that had nothing to do with Flexport. That was before we got here. So there's a lot of scar tissue around investing in tech for the industry, but it has accelerated. The other thing that I would say has changed, and we can probably get some credit for this, is there's this huge ecosystem of tech companies now attacking related logistics problems. Many of them are building software for freight forwarders to say, "Hey, run this software. You'll be able to make an experience similar to Flexport." Or, "They're doing solutions for one or another aspect of what we do." I went to a conference called Manifest. It's an interesting tech conference for logistics, which it's only three years old and 10 years ago couldn't have existed. And there were 500 software companies on display demoing their tech. And I think we'd probably get a little bit of credit for that, for making the space, like attracting DC to the space, making it a little bit more famous, et cetera.

Carolynn: For making the unsexy sexier. That's what you get credit for. You brought sexy back.

Jessica: Money is sexy.

Carolynn: Can I ask a quick question? It may not be a quick question. So what's the global geopolitical stuff like? What's happening in the Suez? When that kind of thing starts to happen, are you like, "Oh crap, this is going to be such a difficult thing to deal with."? Or you're like, "Aha, opportunity. This is where my company will shine because we can figure this stuff out faster."?

Ryan: Both of those at the same exact time. It's your opportunity to shine but if you don't... One of our fundamental value props of why a customer uses Flexport is we're going to show you where your stuff is and give you a better sense than anybody else of when it's going to arrive. And all of a sudden, we use satellite data to track the ships and generate ETAs. They feed into our machine learning models that predict when the ship's going to arrive. Well, in a Suez example with what's happening at the Red Sea right now, the first thing these ships did was turn off their satellites to their transponders to avoid being targeted by the Houthis, the guys shooting missiles. And so that's the first thing they did. So immediately, right when you need the data the most, where is the ship? When is it going to arrive? And data source goes away. We're tracking the ship and we were predicting where it's going to go, but we weren't built to detect which ship is completely rerouted right now.

And so we had to scramble when this first incident started. This was a month and a half... Oh, it's a couple of months ago. Weekends, nights for three, four days, going back to old school startup grind, update our system. But we knew it was our opportunity to shine because no one else was able to do this at all. And so that started... I want to say it was on a Friday when the first missile hit a container ship. And by Monday, we completely

upgraded our user experience to be able to show customers, these are your containers that are on ships that have been diverted. This is our best estimate of its new ETA. We changed the color orange in the app. It did create an opportunity for us. We built all these systems over a really hardcore weekend of coding to get to where there's a great user experience to show the customer which cargo is being delayed, when it would arrive.

And then systems also, largely, to empower me as the face of the company to become a real thought leader on this topic. What is happening in the Red Sea? Give me the data. Show me how many ships have diverted. What's the new transit time? What does that mean for global trade? We knew it would be a big opportunity, but it was also a chance to fall on your face because if you're the guy saying, "Hey, our system is the best at tracking ships." And then it's not true. You look like an idiot. So we've managed to find our business is always in the center of some kind of chaos of global trade and turn that into an opportunity for the brand and do a better job showing up for your customers. Going back to Trump when he would put out new tariffs every couple of weeks, and that was obviously rough on our customer base and therefore on us. But we were better at figuring out, they would announce the new list of these are the new tariffs affecting these products.

And within an hour we were notifying all of our customers like, "Hey, this is what it's going to mean for you." And no one else bothered to call them at all.

Jessica: Wow. Opportunity.

Ryan: Even the bad stuff, we can turn into good stuff. Yeah.

Jessica: Can I say a fun fact? Because Carolyn, I don't know if you know this that you asked about the Suez Canal, Ryan wrote a children's book based on the situation.

Carolynn: Oh, no. I was already thinking about the Ever Grande or... All the ships have the-

Ryan: Ever Given. Yeah.

Carolynn: Ever Given. I was thinking of that and that I do know that he wrote that children's book, and you should tell us more about that.

Ryan: Well, writing a children's book is very easy. Illustrating the children's book is hard and I didn't do that. I only did the writing. And your husband edited it and made it great. I think it was good and then Paul made it great. He's a great writer.

Carolynn: He's good at that.

Ryan: So I should have given him a writing credit, but I didn't want to impose that. So he did it. He made it great.

Carolynn: Do your kids like the book?

Ryan: It's good. It's a story. I have young daughters and I feel like all the children's books that I read are nonsense-y or the weird communist lessons. I don't know. I didn't really like any of the children's books. And so I thought, hey, here's a chance to teach about global trade. And so it features the digger, the little excavator. I was struck by this guy. He sees the ship get stuck, he's got an excavator. And the whole world started laughing at this guy for using his little tiny excavator to try to free the ship. But my view was like, hey, you know what? This is a guy, naive optimism. Try your best to solve the problem. And so the book is about that. The hero is the little digger and tries to inspire others to take action. And so by him getting started, then he attracts the pump ship and the other tow boat, and they eventually free the ship and they call him a hero.

And one funny story about that book is, it went viral in Egypt. No one really noticed this book when I put it out, except in Egypt. It went totally viral. And because everybody had been making fun of this guy, and they liked the fact that I made the Egyptian the hero of the story, and I got invited. I haven't gone yet, but I got invited by the parliament to come to Egypt and-

Carolynn: Oh, you should totally go.

Ryan: Do a tour of the canal.

Carolynn: You should totally go.

Jessica: Oh yeah.

Carolynn: Yeah.

Ryan: Unfortunately, I think they had a dictatorship , or coup d'etat since that time. So I'm not sure it's the same people in power.

Carolynn: It's okay now though. Yeah, John was just there.

Ryan: I'm going to go.

Carolynn: Yeah, you should go.

Ryan: Oh yeah, no, I want to go. I definitely want to go as a tourist in the first place.

Jessica: Yeah.

Carolynn: I don't know if you can speak candidly about this, but were unions a problem for you? Did they decrease your productivity or try to cause any problems?

Ryan: They've never been a problem for us. There were a few layers removed. We don't have to interact with them directly. There's unions all over the world in ports, they seem to work fine. US ports are the least productive in the world, less productive than Tanzania's ports. But there's unions all over the world, so you can't just blame the union for that. I

think there's something unique in how the unions in the United States interact with the management of these ports. It's like in that interaction rather than blaming one side. And in particular, what happens, I don't know where the source of this is, I'd like to study it more, but in the US ports, the management private company says, "Hey, I need this many workers tomorrow." And then the longshoremen's union just provides that many workers. And it's not the same people every day coming to the port because there's 30 different port terminals here. I'm in LA right now. In the port down here, there's 30 different terminals.

So these unions get assigned. There's a seniority ranking. I don't know how it all works. But the workers just get assigned and they're treated like fungible units of work instead of like, "Hey, we're team members here. We've got a manager. We're going to come in every day and try to do a little better than we did yesterday." And there's something about that dynamic, for whatever reason, I don't know the history of why it's done this way, but it's like new people showing up every day, operating heavy equipment without KPIs or enough training. There's something just broken. But I can't blame the union per se. It's just something in that interaction between the union and the management.

Carolynn: Well, is that a good segue into what happened during the pandemic?

Jessica: That's on my list. Let's talk Covid. No, we're having a frenetic podcast discussion. Because you got masks and PPE kit to San Francisco when no one else could, right? Tell us the story.

Ryan: Well, yeah, across the world. Well, so when the pandemic first hit, we had this group called Flexport.org that does humanitarian shipping. We basically do pro bono shipping at our cost for disaster relief, effectively. Some economic development, but a lot of disaster relief where there's... Most recently the Maui fires or the Ukraine war. So when the pandemic first hit in Wuhan, shame on us, we took 500,000 masks from the United States and flew them to China. So we're the reason there were no masks in America on some level. We were getting them to the doctors on the front lines and the people of Wuhan. And that was in January of 2020. We were early to be like, "Oh, this is a big thing." We were talking to doctors over there and figuring out what's going on. Then we realized, oh, there's huge mass shortages in the US and then most of the masks are made in China. China ramped up mass production really fast.

So by April 2020, a huge amount of mass production had come online. There was a lot of mass capacity available. One of the main things that happened in the logistics world for the pandemic is all the passenger flights got grounded and 50% of the world's air freight flies in the belly of passenger planes. And so you don't have these passenger planes flying. There was a fundamental bottleneck to get the masks imported into the US and the distribution chains of these masks broke down. And then the hospitals tend to be very well-connected. Their board members or Marc Benioff's on the board of UCSF. And Benioff's got connected with Jack Ma. These business networks got activated. We're able to source the masks for the hospitals. But the hospitals have never imported anything before. They usually just buy it domestically from these distributors.

And so while our whole software is made to make it easy to import something, so we onboarded all the hospital networks in the US, a huge percentage of the hospital networks onboarded as importers to manage the customs turns and they had the masks, but now we have to get airline capacity. And well, the solution, if you listen to the problem, you can hear the solution is all the passenger planes are grounded and not flying. And so we went and called the airlines and said, "Hey, can we borrow your passenger planes and fly them to China and pick up masks?" And we got a bunch of Delta, American, Atlas, a bunch of airlines gave us planes, Condor, a lot of airlines around the world. And so we flew 88 passenger planes to China and stuffed them to the gills with masks in the seats, in the overhead compartments, in the belly.

Jessica: No way.

Carolynn: I was just going to ask, did you leave the passenger part empty? But it sounds like not.

Ryan: No, we just used every inch that we could. And so we shipped about 500 million units of PPE to hospital networks across the US and across actually, NHS in the UK. We did all over the world, the Dutch government, Australia. We shipped to New Zealand. All over the world. And then the other thing we did was we realized from a business standpoint that if these passenger planes are grounded, that there's going to be a huge rise in the price of air freight. And so we went and contracted and signed a long-term lease, like a five-year lease on three 747s, which we still have. And we painted them with the Flexport logo and stuff. But that's the reason that Flexport has 747s is we're trying to get all the masks in and get capacity. And then we saw a business opportunity at the same time. And so the price of air freight long-term is four bucks a kilo. And for two years plus it was \$20 a kilo. And we had signed the long-term contract at these low rates on those 747s.

In large part, we don't want to be in the asset business of operating airplanes, but we are in the business of making money. And we saw an opportunity like, "Hey, this is crazy. As long as these passenger planes are grounded, the price is going to go crazy for air freight." Now it's turned out to be breakeven and we even lost money last year on the planes. But we're about to breakeven. It's a bit of a pain in the butt now but the first three years, it was great for our business.

Carolynn: So the pandemic thing that I was thinking about was that, but also what happened in Long Beach because we were just talking about the unions and the whole container stacking thing or whatever that was. That was so interesting.

Ryan: Yeah. There's not a single economist in the world that I'm aware of who predicted this, but that global trade went up by 20%. Volumes went up during the pandemic. Because in every prior recession in history, volumes of trade went down. But in this case, what happened was people weren't going to restaurants, they weren't traveling, buying whatever services. They switched their spend onto buying stuff. And so the volumes increased. No one predicted that. Nobody. That's why we were able to sign cheap deals on those planes because even the airlines thought, "Oh, there's going to be less volume. No one's going to be shipping anything. We'll sign this deal with Flexport." We took it. And so the surge of container volumes of about 20% increase coming into the ports. Our

ports couldn't keep up. In part because of the union dynamic, I suspect, like I was describing, but also just how can you scale a physical thing that 20% overnight?

And so you had this congestion at the ports. And remember these photos of the hundreds of ships waiting off the coast?

Carolynn: Oh, yes. Okay.

Ryan: It was super delayed to get anything delivered. It was very frustrating because our customers were getting frustrated. We were charging them so much money to ship freight, and it was taking so long and it was so unpredictable. And so I'm just curious, trying to get to the root cause of what is going on, why can't we move these ships through? And what I would see, if you're near a container port, just look, you can see those cranes, they look like the AT-AT walkers from Star Wars. If it's at an angle like this, 45 degrees up, it's not unloading anything. For it to unload something, it goes flat like that. So you could just at a glance, look at a container port and go, "Are they working right now or not?"

And every time I would go by the containers, the cranes were up. And I started to go crazy because I'm like, "You're not unloading the ship, guys. This is what is happening." And so I wanted to get to the bottom of it. I wanted to talk to the workers. You're trying to get to the bottom of something, go to the front line, the people working on the spot and see. So I don't know how to talk to union workers. They won't let me into the port. Whatever. You just can't just stroll in there. There's security. So what we did was send a taco truck. This was my version of the Trojan Horse. We sent a taco truck down to the port and just fed the workers. And they all came out and ate tacos with us. And then we asked them what's going on.

Jessica: Oh my god.

Ryan: And there's probably better ways to do this, but I don't know. I was trying to have fun. And they told us that the truckers were responsible, that the truck drivers weren't showing up for their appointments. You have an appointment at the port, as a truck driver, you got to get there within this one hour window because then they got to have your container ready at the front so that you just get going. So if you don't show up, then your container just stacks and gets in the way. And then there were just too many containers in the way, and the whole port got a traffic jam and they couldn't unload any more ships. And so I was like, "Well, why aren't the truckers showing up?"

So then what I did was we work with this one trucking company in LA that's pretty big and I got their CEO. I could have probably just gone to his office and talked to him, but I was trying to have some more fun. So I invited him on a boat trip. We rented a boat and went around the port of Long Beach. A great way to get information out of someone is to get them on a boat because they can't get off. Yeah, they're stuck with you. So I just interviewed this guy, interrogated him, almost for three hours. And I found out from his perspective why they were missing, is that in LA in Southern California, if you have a trucking yard, the yard where they keep the trucks in the containers, you're only allowed

to stack containers, by zoning law, too high. If you go more than too high, it's either safety or aesthetics or something. You're not allowed to stack more than too high.

And so what was happening was that their container yard was full. And then so the third container to show up, they're not able to unload it. So it just sits on the trailer. It's called a chassis. It just sits on the trailer and gets stored there. And then they have no more trailers. And so Southern California had run out of trailers to actually go pick up more ports at the container. So you had this total traffic jam. And so I wrote this up as a tweet storm the next day. At six AM, I tweeted about all my findings. And then by 11 AM, Gavin Newsom called me to... The governor of California. I had Long Beach City Council. And at 2 PM, that afternoon, Long Beach City Council voted to change the zoning law to allow containers to stack four high in a trucking yard and get the containers flying through. So I don't know if it really solved any problems. It's a bigger problem than just that. But I got on 60 Minutes. They put me on the cover of Forbes saying, "Can this guy solve the supply chain crisis?"

Jessica: I missed you on the cover of Forbes.

Ryan: Oh, yeah. I was on the cover of Forbes because of that. And I learned this... I forget what it's called. There's some law, which is if any headline starts with a question... Because the question was, 'can this guy solve the supply chain crisis?' that's what the headline of Forbes said. Any headline that starts with a question the answer is always no. Because if they could, they would just say, "This guy solved the supply chain crisis."

Jessica: Wow. That's amazing. And it all started... You were in the taco truck.

Ryan: It started with me. Yeah. Just trying to get to the bottom of this and people were like, "Why is this guy doing this?" I'm like, "Well, it's my job. I've got customers who are angry about-"

Carolynn: Well, it was great because it answered questions that the layman out there, all of us are like, "We don't get it. Why is it so hard to get the stuff we ordered from Crate & Barrel? Where is it?" And so you went out and you answered the why.

Ryan: It's a really complex dynamic. I mean, it didn't just resolve overnight, it took a while. In fact, it really only resolved because demand went back down and things normalized. The frustration from my perspective is there are technology solutions that Flexport has that would work to solve this problem because you shouldn't need an appointment. Now it'd be hard to implement this tech, but the tech is there and it's all that. But the tech is simple. It's a mobile app for the driver. It would show up and just give them whatever container is available and no appointment needed. Just run laps on all the containers and you would've cleared them out in no time. I've already mentioned the union dynamic, which I'm sure you could get more productivity if you could miraculously solve that. And then look, there's an empty port terminal in Oakland that's unused. We could have 4x the capacity of Oakland's operations just by turning that back on. And it works. Yeah, it's still closed and they should never have bothered to turn it on.

So there were some things there where you're just like, "Well, if we really wanted to solve these problems, we probably..." And it's always very frustrating the closer you get to some big problems, you find actually it's hard to solve these big scale things.

- Jessica: Brokenness. Oh my God. What? Was I living under a rock when all this went down? I am going to have to look at the timeframe and be like, "What was I doing?"
- Ryan: Oh, well, you know what? In 2020, the pandemic, people had other things on their minds. I was worried about your health and safety and your children and everything, but we were trying to keep the containers moving.
- Jessica: That is just amazing. I love that story. I want to ask you about fundraising because did you not raise a gigantic round, the largest round ever on a safe? Which of course, Carolynn Levy created.
- Carolynn: Oh, Jess. Yeah.
- Ryan: Thank you, Carolynn. Yes. Yes. I don't know if that's true or not. We did raise \$50 million on the safe at one point.
- Carolynn: I remember. I was shook.
- Jessica: I thought it was even more than that.
- Carolynn: No, it was 50 million. I remember.
- Jessica: I still-
- Ryan: 50. I think it was 50. There was a bigger round, but only 50 of it was on the safe. It was uncapped. It was what I think people sound remarkable.
- Carolynn: Yeah, for sure. I love that. Yeah, that was a little scary. Five skinny little pages for \$50 million.
- Jessica: The safe worked, right?
- Ryan: Yeah, it worked. It worked. They converted later. Everybody's happy. They made money. The investors did well. They were aggressive and they did well on it.
- Jessica: Yay. During YC, you got this inbound call from Google Ventures. Was it a walk in the park for you?
- Ryan: Not always. Not always. The seed round was, I think we were a hot company. YC; great brand. There was a bit of a feeding frenzy on demo days, but not everybody has that experience. But that seed round was easy. But like, oh, a lot of painful, failed fundraisings along the way. And Founders Fund-

Carolynn: Before what?

Ryan: No, no, post YC.

Carolynn: Oh, post YC.

Ryan: It looks easy on the outside, but we had a lot of... Mostly my fault type of situations thinking that we were hotter than we were, trying to get better terms than we should get. And Founders Fund, a couple of times, came to our rescue when no one else wanted to fund us, and said, "Okay, we'll put in more money and..." So I'm a very loyal advocate of Founders Fund as the best YC funding part. I've had such great experiences working with them. But yeah, fundraising is the worst part. Try to avoid it. Make your company profitable so you don't need to fundraise. Would be my advice.

Jessica: Ryan, can I ask you about Founders Fund? Because last summer you joined Founders Fund to be an investor, and I was surprised. But now you've come back. Will you tell us a little bit about that?

Ryan: Sure. Yeah. Well, so about a year ago I hired Dave Clark who was at that time the CEO of Amazon retail, Amazon consumer, the amazon.com when you buy packages, to be our CEO at Flexport. We did a six-month Co-CEO thing. And then I stepped into the executive chairman role. I hired Dave because Flexport's a really hard operational business and I just have so much respect for Amazon as the best operations tech company in the world, physical operations. And I just wanted to upgrade our operational excellence. And look, I love being the CEO of Flexport. So it was pretty painful for me to step aside, but I really just felt like we weren't getting to the place where I wanted to be of repeatability, metrics oriented execution. There's constant process improvement to ship this cargo over the world. And I felt like a better, stronger leader on the operation side would make us way better. I got caught away with Dave.

So I stepped into the chairman's role, got a little bored, for lack of a better word, of, I don't know, I wanted to be more in it. And yet it was clear that Dave didn't need me day-to-day involved in the operations. I was going to cause problems. So Founders Fund asked me, recruited me sort of, and I said no a bunch of times but I'm there. I love the Founders Fund team. They've been a huge part of Flexport's success. And I have done a lot of angel investing over the last decade. I invested in about 150 companies as an angel and I've done really well as an investor.

Jessica: No way.

Ryan: I'm not sure that that translates because angel investing is super different than VC. You're not pricing rounds and making decisions. You're just putting some money in someone else's deal and hoping for the best. And that worked really well but I don't know if I'd be a good venture capitalist. But Founders Fund, I joined as a partner and worked there for a few months and I loved it, but then the Flexport board asked me to come back as CEO, so of course I did. I'm still a venture partner but scaled back my role quite a bit as I'm just focusing on scaling Flexport again. That was September of last year,

so coming up on six months here back in the seat. Been the hardest, most rewarding six months of my career. Just to give you a snapshot, we improved our earnings by \$600 million in the last six months while growing market share and part of that was to reduce the headcount cost by 40%. We really went lean, especially on the fixed cost. We really stripped out a lot of that corporate overhead staff.

Jessica: This is what you talked about in the Garry interview and I have exclamation points next to it. You said, "I have lost discipline, high burn rate." You just had a lot of money and you spent it and there were no budgeting processes and you spent two years, you said, paying for the consequences.

Ryan: More than that, as it turns out, yeah. I've never seen a company raise around and not immediately turn around and start wasting some more money. And if you think you're going to be the one that solves this problem, you're not. No one's ever done it. And investors will warn you and say, "Hey, you're going to raise more money, but don't go start spending." You're like, "Oh, yeah, we won't." Founders always want to raise massive rounds at a high price. Investors will tell you, "Raise less money at a lower price." And founders correctly think the investors are self-interested in doing that, but they are more experienced. They've seen that movie before and see that if you raise 20 instead of 10, you're going to waste an extra five to \$8 million of the... Even Flexport's series A round, which I thought was massive at the time, we raised 20 million bucks for Founders Fund. The next day or within a week, I took a shipping container and turned it into a booth for a trade show and wasted 50,000 bucks. That seemed like a great idea.

It was just like I would've done it. 50,000 is a lot of money out of 20 million. And I wouldn't have even considered it if I didn't have the money in the bank account. So the money just wants to spend itself. And in the last decade, capital markets were booming and Flexport was an odd company. We raised money really easily. I mean, obviously I've told you there was some pain along the way, but we raised money relatively easily, a lot of it, and didn't have enough discipline, and that is what it is. We've learned the hard way of how important it is to get really focused and disciplined. A good finance partner is key for founders. Once you've raised a good chunk of money, you think like, "Oh, our business is simple. I can model that, don't need it." But it's only half of the job with the CFO. The other half is cultural, of imposing the iron will, of not wasting money and measuring every ROI's dollar.

Jessica: Yeah. And making sure everyone shares the responsibility.

Ryan: We've learned that the hard way a couple of times, so hopefully the lessons stick this time. We're being really hardcore right now about every dollar that we spend. And we want to be really profitable and then reinvest those profits in ways that generate the highest return. So we're on track. We're going to get profitable towards the end of this year. Thanks to all this hard work that we're doing. But yeah, quite a journey. The last six months has been difficult.

Jessica: Well, we can't end on that note.

Ryan: Well, it's also fun. Like I said, life should be difficult. I mean, we're not here just to hang out. You're going to do hard things.

Jessica: Because you've been doing this now for a while, how do you make it so your company can be your life's work and you don't get burnt out and you can endure the length of time that it takes to run the company?

Ryan: That is a great question that I will badly need to learn. I came back to the scene September the sixth of 2023, so about six months ago, and I really overworked myself. I did four months in a row of 15 hour days, seven days a week, and I really crippled-

Jessica: Oh, my.

Ryan: Yeah, I crippled myself. My body started to really fail me. Back pain, leg pain, hands tensed up. I now need reading glasses when I never... I mean, I'm also 43. That just happens. But I think it's related. I think I overdid it. So I spent the last couple of months going, "Okay, wait. I need to put some more sane practices in here also for my family, my relationship with my children and my wife, by exercising, some meditation, take care of my mental health." I had a lot of symptoms of depression. Even though I don't feel depressed. I look at the world, I'm really optimistic and happy, but when I look at the list of my depression symptoms, I was like, "Wait, even back pain is on here." Because you're doing hard stuff and firing people. You're going through some really difficult moments. Saving the company, turning things around, seeing problems that I spent a decade fixing as we built these relationships with these customers and they're not happy because of this process that's broken. It can be tough going through that.

And so yeah, I had to, for the last couple months, really take care of myself and realize like, oh, okay. You got to have good outlets for dealing with anxiety and stress and exercise is the main one that works for me.

Jessica: An add to your to-do list, Ryan, Instalab, Adora Cheung's company. They come to your house, it takes 10 minutes and they check you on 60 different biomarkers. I just did this recently. It was fascinating.

Ryan: I haven't done hers, but I did something similar. I did one that goes really hardcore where they do all these scans of you, not just blood tests, but I found out I have a third kidney.

Carolynn: Really?

Ryan: I'm a freak.

Carolynn: I did not know that was a thing.

Jessica: What? I didn't know that that was a thing either.

Carolynn: Wait, can you-

Ryan: It doesn't work. It doesn't work. I can't donate it.

Jessica: Okay. That was my next question. Can you say if you could donate that?

Carolynn: But is it the same size as your other kidneys?

Ryan: It freaked me out because the doctor called me. He's like, "Hey, one of your kidneys doesn't work." I was like, "Oh, man." And then he called me back 15 minutes later. He's like, "Oh, wait. It's a third kidney."

Jessica: Oh, wow. I did not think we were going to unearth this breaking news in this episode. I know. Ryan Petersen-

Ryan: I never said that one publicly either.

Jessica: Third kidney. Oh my God. I love it. Well, I know we got to end and let you get back to your work down there in LA. Thank you for coming on. This was fascinating. I learned so much.

Ryan: My absolute pleasure. Thank you for all the support over the years. Oh, I forgot to tell the best part, although it may end with this story of when I told Paul... No one's ever been more disappointed than me than PG about hiring a CEO for Flexport. And when I met with him afterwards, he was just like, "What happened? Why are you doing this?" He just really loves the idea of the founders running their company. And I told him some stuff and I said, "Well, I think this guy would be better than me at running the company. That's why I hired him." He's like, "That'd be like saying some other guy would be a better husband for your wife. It might be true, but you don't act on it."

Jessica: He never told me he said that. Oh, wow.

Carolynn: That's a great quote. That's so [inaudible 01:09:39].

Ryan: I was just like, "Oh, man, I feel so terrible." So I'm happy to be back in the seat. I can make Paul proud again and do a good job for him.

Jessica: Oh, I know he's very proud of you.

Ryan: You could cut that one out. It might be a private moment that he didn't want me to share. You could ask him if he's comfortable.

Jessica: Oh, that's awesome. That's a great way to end. We'll end on that story.

Carolynn: It might be true.

Ryan: All right.

Jessica: Wait, I'm going to laugh about that all day. It might be true, but don't act on it. I'm going to go down now and find it and be like, "Did you really say this to Ryan?"

Ryan: It was hilarious and it's so hurtful at the same time.

Jessica: Oh, my word. Oh, PG. Well, thank you again. This is going to be a great episode.

Carolynn: Thanks, Ryan. Thanks so much for coming. Bye.

Ryan: Okay, thanks so much. Bye-Bye

Jessica: Bye. Oh, Carolynn, that was so fascinating.

Carolynn: Yeah, no, he's got so many good stories. I felt like we could talk to him for a long time.

Jessica: And I usually don't do such a deep dive into the actual industries, but I had to learn about the shipping industry. There's so much to know.

Carolynn: Yeah. And I think it's one of those unsexy industries that actually... Like I was saying before, you have questions because it actually impacts you every day, so... Not every day. I mean, we don't ship things every day, but you understand as an end user when things go wrong, it's super annoying, so you just want to know more.

Jessica: Yeah.

Carolynn: Do you know what I did? I emailed them because I had a problem with a sofa getting from point A to point B. It's a long story and I'm not going to go into it in this part, but I had a shipping problem and I was complaining to John. He's like, "We should ask Ryan." And I was like, "Oh, Ryan's busy." And I was like, "You know what? Why not?" And he helped in the way that he was like, "Give it up. Don't waste your time because you're never going to solve that problem." Which was helpful to hear.

Jessica: That's helpful. Yeah.

Carolynn: It's super helpful to hear because nobody knows better than Ryan. Do not waste a minute more of your time trying to solve this dumb shipping problem.

Jessica: I am filled with so much energy having just spoken to him. He's one of these people that brings energy and excitement to the conversation. Do you know what I mean?

Carolynn: Yeah. Yes.

Jessica: There's some people who give you energy and some people who tap it out of you. He gives it to me. You know?

Carolynn: Yeah.

Jessica: I'm so glad we got to catch up with him. It's going to be a great episode and-

Carolynn: It will be a great episode.

Jessica: I'm so psyched for it to come out.

Carolynn: Me too.

Jessica: So, awesome.

Carolynn: See you next time.

Jessica: Okay. Bye.

Carolynn: Bye.